

a different set of challenges because they operate with much higher uncertainty. While a company working on a sustaining innovation knows enough about who and where their customers are to use *genchi gembutsu* to discover what customers want, startups' early contact with potential customers merely reveals what assumptions require the most urgent testing.

GET OUT OF THE BUILDING

Numbers tell a compelling story, but I always remind entrepreneurs that metrics are people, too. No matter how many intermediaries lie between a company and its customers, at the end of the day, customers are breathing, thinking, buying individuals. Their behavior is measurable and changeable. Even when one is selling to large institutions, as in a business-to-business model, it helps to remember that those businesses are made up of individuals. All successful sales models depend on breaking down the monolithic view of organizations into the disparate people that make them up.

As Steve Blank has been teaching entrepreneurs for years, the facts that we need to gather about customers, markets, suppliers, and channels exist only “outside the building.” Startups need extensive contact with potential customers to understand them, so get out of your chair and get to know them.

The first step in this process is to confirm that your leap-of-faith questions are based in reality, that the customer has a significant problem worth solving.⁸ When Scott Cook conceived Intuit in 1982, he had a vision—at that time quite radical—that someday consumers would use personal computers to pay bills and keep track of expenses. When Cook left his consulting job to take the entrepreneurial plunge, he didn't start with stacks of market research or in-depth analysis at the whiteboard. Instead, he picked up two phone books: one for Palo Alto, California, where he was living at the time, and the other for Winnetka, Illinois.

Calling people at random, he inquired if he could ask them a few questions about the way they managed their finances. Those early